

VOLUME I

FOUNDATIONAL ORGANIZATION DOCUMENTS

DRAFT LEGAL DOCUMENT SET

Table of Contents + Risk Highlights

ARTICLES OF INCORPORATION

Purpose: legally create the IAC regional nonprofit

Draft Sections

1. Name
2. Registered office
3. Charitable / civic purpose
4. Tax-exempt purpose language
5. No private inurement
6. Dissolution clause
7. Initial incorporators
8. Initial board structure
9. Membership status (if any)
10. Liability limitation
11. Indemnification

Legal Risk Flags

HIGH RISK

- purpose language too narrow
- political / lobbying ambiguity
- unclear tax-exempt status
- unclear whether members exist

This must be carefully aligned with Minnesota Chapter 317A and intended IRS status.

MASTER BYLAWS Umbrella Governance Constitution)

ARTICLE I — MISSION AND AUTHORITY

- regional rural development mission
- quality-of-life mission
- technology infrastructure authority
- service coordination authority

Legal Risk

Potential overreach into governmental powers.

Important question:

Is this advisory, contractual, or quasi-governmental?

This needs clarity.

ARTICLE II — BOARD COMPOSITION

Draft:

- 2 small town representatives
- 1 trade center representative
- 80 Service Center representation model
- officer seats
- staggered terms

HIGH RISK ISSUE

This is your first major legal problem area:

REPRESENTATION APPORTIONMENT

How are the 80 Service Centers represented?

Possible legal challenges:

- unequal representation
- voting imbalance
- capture by larger trade centers
- minority community underrepresentation
- conflict with grant/foundation governance requirements

This needs a **mathematical representation formula**.

For example:

- equal SC votes
- weighted population votes
- mixed bicameral vote structure

This requires fuller detail.

ARTICLE III — VOTING POWERS

Must define:

- ordinary votes
- consensus votes
- emergency votes
- budget votes
- defunding votes
- constitutional amendments

LEGAL PROBLEM AREA

Your e-consensus concept is excellent, but legally dangerous if undefined.

Questions requiring full detail

- What constitutes quorum?
- Is consensus advisory or binding?
- What % converts recommendation into action?
- Can board override?
- Appeal rights?

Without this, decisions can be challenged internally.

ARTICLE IV — EXECUTIVE COMMITTEE

Must clearly define delegated powers.

MAJOR RISK

Committee overreach.

Minnesota nonprofit law allows committees, but board fiduciary duties cannot simply disappear.

Critical detail needed:

- what may be delegated
- what must remain full-board vote

Examples reserved to full board:

- annual budget
- asset sales
- dissolution
- amendments
- grants over threshold
- strategic partnerships

VOLUME II

COLLABORATIVE GOVERNANCE DOCUMENTS

This is unique to your model.

Standard Charter Template

1. name
2. purpose
3. expertise area
4. advisory powers
5. reporting duties
6. conflict rules
7. confidentiality
8. non-compensation
9. appointment / removal

HIGH RISK

Volunteer experts acting as de facto directors.

This is a real legal issue.

If collaboratives make decisions rather than recommendations, they may assume fiduciary obligations and liability exposure.

This must be explicitly drafted as:

advisory bodies unless specifically delegated

Very important.

VOLUME III

SERVICE CENTER LEGAL FRAMEWORK

SERVICE CENTER CHARTER AGREEMENT

Each SC needs its own governing instrument.

Draft Sections

1. local board composition
2. public/private/community representation
3. small town / trade center balance
4. annual planning process
5. budget consensus process
6. local metrics
7. affiliation to IAC

LEGAL PROBLEM AREA

Authority overlap.

This is likely your biggest operational legal issue.

Example conflict

Can a Service Center reject an IAC directive?

Who controls:

- local spending
- platform standards
- service provider contracts
- staffing
- data systems

This requires a **clear supremacy / subsidiarity clause**.

Example:

- local autonomy for operations
- IAC authority for standards and network contracts

Without this, disputes are inevitable.

AFFILIATION AGREEMENT

This is essential.

Draft Sections

1. use of IAC brand
2. shared mission obligations
3. compliance standards
4. reporting requirements
5. financial controls
6. dispute resolution
7. termination / withdrawal

HIGH RISK

Exit rights.

Very important:

Can an SC leave the IAC?

If yes:

- data ownership
- grant clawback
- equipment ownership
- outstanding obligations

Need full detail.

VOLUME IV

FUNDING AND BUDGET GOVERNANCE

BUDGET CONSENSUS POLICY

This document should formalize your funding workflow.

Draft Process

SC identifies need

- e-consensus prioritization
- collaborative review
- annual conference
- board authorization
- funding allocation

LEGAL RISK

Transparency and favoritism exposure.

Possible risks:

- perceived bias
- grant favoritism
- insider influence
- conflicts among board and funders

Need:

- scoring methodology
- written criteria
- public minutes
- appeal mechanism

7. Funding Collaborative Charter

This needs very strong conflict controls.

Required Detail

- who may sit on it
- foundation participation
- recusal rules
- anti-self-dealing
- restricted grants
- performance reporting

HIGH RISK

If funders directly control allocations, tax-exempt and governance issues may emerge.

This must preserve board independence.

VOLUME V

DIGITAL GOVERNANCE DOCUMENTS

E-CONSENSUS FORUM GOVERNANCE POLICY

This is a major legal document.

Required Sections

1. user eligibility
2. authentication
3. voting integrity
4. fraud prevention
5. record retention
6. challenge procedures
7. privacy
8. public transparency

MAJOR LEGAL PROBLEM

Electronic voting legitimacy.

Minnesota law recognizes electronic records and signatures, but your bylaws must authorize this.

Need detailed language.

9. Community Lens Data Governance Policy

Very important.

Must define:

- who owns data
- local vs regional access
- public data release
- confidentiality
- cybersecurity
- data retention

VOLUME VI

LIABILITY + COMPLIANCE

10. Conflict of Interest Policy

Mandatory best practice.

Must cover:

- directors
- executive committee
- collaborative volunteers
- SC boards
- funders

11. Indemnification Policy

Protect:

- board
- officers
- volunteers
- advisors

12. Insurance Requirements

Must specify:

- D&O insurance
- general liability
- cyber liability
- volunteer liability
- E&O

A LEGAL FRAMEWORK FOR THE INFORMATION AGE COMMUNITY

What set of legal documents is needed for the following: The Information Age Community Board consisting of 2 small town reps and 1 trade center rep from the 80 Service Centers. With an Executive Committee and 8 Collaboratives, (community volunteers with special expertise- they essentially provide the departmental support that the public and private sector have to support their structure) and coordinating non-profit organizations formed in each Service Center to interact locally and with the IAC Board. There is key function:

- The Budget Consensus starts at the SC Level and identifies funding needs, these are processed via the e-Consensus Forum to prioritize them and to move those recommendations to an annual conference where all projects, past present and future, are reviewed against visioning metrics, prior to being funded, defunded.
- Ideally a Funding Collaborative consisting of agencies and foundations that believe in community leadership, will provide block grants to fund these community projects.
- The Service Center board would consist of reps from the public private and community sectors with a small town-trade center balance. It would support the
- Community Lens and its Community Engagement applications and the Community TeleCenter that distributes IAC services both physically and logically

The IAC Board would negotiate these services with the Service Providers from a position of strength given the total rural population and economic clout. Visioning, an e-Consensus Forum process defines long term values with associated metrics that are evaluated annually. The SC Vision is a subset of the AIC vision which focuses on the Global competitiveness for both economic and quality of life functions. Ideally each ASA would establish its unique identity within the IAC .

The IAC is a **multi-level governance system** requiring a **full legal architecture**, including a full legal document set consistent with Minnesota / U.S. nonprofit law.

- a regional umbrella organization (the IAC),
- 80 local Service Center entities,
- advisory collaboratives, and
- a funding/consensus process.